ECONOMIC SURVEYS

NORWAY

I. 2. b. 5.

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JUNE 1966

BASI STATISTIS OF NORWAY

THE LAND

Area (1,000 sq.km.)	324
Arable area (1,000 sq. km.)	10
Productive forest	70

Major cities (January 1965)	
Oslo	483,200
Bergen	117,300

THE PEOPLE

Population (Jan. 1965))	3,738,000
No. of inhabitants per sq. km.	11
Net natural increase annual rate (average 1960-65)	28,440
— per 1,000 inhabitants (average 1960-65)	7.6

Labour force total, 1965 (man years)	1,524,000
Of which, in agriculture, forestry and fishing	284,500
Net annual migration (average 1960-65)	1,050

PRODUCTION

Gross National Product in 1965 (millions of Kr. Norwegian definition)	55,550
GNP per head (US $)	2,080

Gross fixed capital formation (1965):	
— Percentage of the GNP	35
— Per head US $	733

THE GOVERNMENT

Public consumption in 1965 (percentage of GNP)	13
General government current revenue in 1965 (percentage of GNP)	32
Public gross fixed capital formation in 1965 (percentage of GNP)	10

Composition of Parliament (No. of seats)	
— Labour party	68
— Conservative party	31
— Centre (Agrarian) party	18
— Liberal party	18
— Christian Democrats	13
— Left-wing Socialist party	2
	150

Last general election: 1965

Next general election: 1969

LIVING STANDARDS

Average hourly earnings of male industrial workers in 1965 (in kroner)	9.17
No. of passenger cars in use per 1,000 inhabitants (Dec. 1965)	128

No. of telephones per 1,000 inhabitants (Dec. 1964)	232
No. of radio licences per 1,000 inhabitants (Dec. 1965)	288
No. of television licences per 1,000 inhabitants (Dec. 1965)	131

FOREIGN TRADE

EXPORTS:	
Exports of goods and services as a percentage of GNP (average 1960-1965)	37
Main exports in 1965 (percentage of total commodity exports):	
— Base metals and products thereof	23
— Forestry products	15
— Fish and fish products	10
— Machinery, apparatus and transport equipment (excl. ships)	8

IMPORTS:	
Imports of goods and services as a percentage of GNP (average 1960-65)	38
Main imports in 1965 (percentage of total commodity imports)	
— Ships (average 1960-65)	16
— Machinery, apparatus and transport equipment (excl. ships)	22
— Raw materials (non-edible) incl. fuels and chemicals	26
— Base metals and products thereof	11

THE CURRENCY

Monetary unit : Krone

Currency unit per US $ 7.14

ECONOMIC SURVEYS BY THE OECD

NORWAY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

1965 was a good year for the Norwegian economy. Output showed a further significant increase, continuing the strong upward trend of recent years. The price rise was moderate and the deficit on the current external account was not excessively high, pointing to a relatively good balance between aggregate demand and supply, although the labour market was very tight. With resources very fully utilised at the beginning of the year, and the physical scope for expansion smaller, official forecasts envisage a more moderate advance in production in 1966. Since demand is generally very strong, it will be an important task of government policy to maintain the relatively good economic balance achieved last year.

Part I of the present Survey reviews current trends in the economy, and recent policy measures. Part II discusses the main features of the authorities' incomes policy, a field where considerable progress has been made in recent years. Part III considers some longer-term trends in the economy, particularly the marked acceleration in growth from the 1950's to the 1960's and the main factors behind it.

I. THE CURRENT SITUATION

Production

The real gross national product rose by almost 6 per cent in 1965, about the same as in the preceding year, and much faster than the growth of capacity (probably some 4.5 per cent). The strong expansion in both 1964 and 1965 was to some extent aided by a pattern of demand well adapted to the structure of production, enabling in particular a very high rate of capacity utilisation in the export industries; in 1964 exports rose steeply; in 1965 the rise in exports, although still significant, was smaller, but a re-building of stocks of exportable goods following the run-down of the preceding year added to demand. A large fish catch also contributed to the advance in production in 1965. In 1966 the authorities expect an increase in output

more in line with the growth of capacity. But since the expansion continued at a high rate in the first part of the year, the scope for higher production may have been somewhat underestimated.

Table 1 shows the movement of output and employment in individual sectors. In 1965 the expansion was particularly strong in fishing, shipping, electricity, manufacturing and mining. Seasonally adjusted data point to some slowdown of the increase in industrial production in the second half of 1965, and in 1966 the revised national budget envisages a slowdown of the expansion in most sectors, with a decline in output in forestry and fishing. But in the first months of the year, despite the unusually cold winter, output continued to rise very fast, pointing to a rather stronger expansion than officially envisaged. Building and construction activity fell in January/February, but showed a strong subsequent recovery, the winter fishing season was good, and manufacturing output resumed a faster rate of growth, with the first quarter showing an increase of 7 per cent over a year earlier.

TABLE 1. **OUTPUT AND EMPLOYMENT**

	PERCENTAGE DISTRIBUTION 1965		CHANGES IN PER CENT			
	GROSS NATIONAL PRODUCT	EMPLOYMENT, MAN-YEARS	GROSS NATIONAL PRODUCT, VOLUME		EMPLOYMENT	
			1964-65	1965-66	1964-65	1965-66
Agriculture	3.9	15.1	—0,4	1–2	—2.5	—2.4
Forestry	2.0	1.5	7.3	11–12	—4.2	—8.7
Fishing and whaling	2.0	2.6	18.8	–6	—2.9	—2.0
Manufacturing and mining	25.2	25.2	7.4	5	1.5	1.1
Building and construction	7.7	8.1	3.4	5	0.1	1.4
Electricity and water supply	3.0	0.9	10.8	7–8	0.7	—
Retail and wholesale trade	17.8	12.2	4.5	4–5	1.8	1.8
Maritime transport	10.6	5.4	9.3	7	—0.5	—0.9
Other transport	6.1	5.6	5.3	4–5	0.4	0.2
Miscellaneous activities	21.7	23.4	3.8	3–4	2.4	2.2
Gross national product	100.0	100.0	5.9	4.5	0.6	0.6

Source : Revised National Budget, 1966.

Employment measured in man-years rose by 0.8 per cent in 1964 and 0.6 per cent in 1965, suggesting an increase in output per employed of almost 5.5 per cent a year. In 1965 the productivity advance was even stronger than this, since the annual holidays were extended from three to four weeks from the vacation year beginning 15th May. The strain on the labour market increased in 1965. The number of jobs vacant registered by

the labour market authorities rose and unemployment fell; in the summer months the unemployment ratio was down to 0.4 per cent, the lowest in several years. In January and February 1966, influenced by the cold winter, the number of unemployed was relatively high, but by March the unemployment ratio was lower than a year earlier, and prospects for demand point to tighter rather than easier labour market conditions in the months ahead.

Demand

Exports and gross fixed asset formation have constituted the main dynamic elements in recent years. Merchandise exports rose by almost 20 per cent in 1964 and 12 per cent in 1965; since export prices increased by 3 and 4 per cent respectively, the advance in volume was somewhat smaller. Exports of ships and fish products rose strongly in 1965, while foreign demand for forest products, iron and steel became weaker towards the end of the year. The other Nordic countries were the most buoyant foreign markets last year, taking 55 per cent of the increase in merchandise exports; shipments to the United Kingdom, which takes almost 20 per cent of Norwegian exports, levelled off. The rapid growth of the shipping sector has also been an important expansionary factor, contributing about one-sixth of the rise in the real gross national product in 1965. In the first five months of 1966, the value of merchandise exports was 11 per cent higher than a year earlier, continuing the strong increase of the last couple of years, and the inflow of orders to the export industries suggests that foreign demand generally remains strong. Nevertheless, some slowdown of the rise in exports would seem probable in the current year. Exports of new ships are likely to decline, following some bunching of deliveries in 1965, and the authorities expect the rise in export prices to be reversed, following the rather strong increase in average export prices in the second half of 1965.

The rise in gross fixed asset formation may slow down somewhat in 1966, because of a much smaller increase in investment in ships. Excluding ships, however, gross fixed investment is likely to rise faster than last year. A survey of intentions taken in February pointed to a 26 per cent increase in current prices in 1966 of gross fixed asset formation in industry (including electricity supply); a similar survey taken in November showed a 22 per cent increase. Since the increase envisaged was particularly sharp in machinery and equipment (45 per cent) the authorities will only to a limited extent be able to check the expansion through building controls. Experience shows, however, that the investment surveys tend to overestimate the increase in investment demand. And the authorities believe that existing credit restraints should put an important brake on the increase in industrial investment demand, although profits have risen fast during the last two years. Investment in building and construction is also expected to rise much stronger than last year, partly because of a sharp increase in residential

TABLE 2. **GROSS NATIONAL PRODUCT AND EXPENDITURE**

	1965 ACTUAL *Current prices*	1966 ESTIMATE *1965 prices*	PERCENTAGE VOLUME CHANGES		
			1963-64	1964-65	1965-66
Private consumption	28,107	29,400	4.1	2.6	4.5
Public consumption	7,213	7,410	6.0	10.7	2.5–3
Civil	5,336	5,590	6.2	8.0	4.5–5
Military	1,877	1,820	5.3	18.6	–3
Gross fixed asset formation	19,552	20,640	4.8	6.6	5.5
Building and construction	9,182	9,670	4.0	2.9	5–5.5
Machinery and transport equipment	6,229	6,800	9.8	6.8	9–9.5
Ships and other vessels	4,141	4,170	0.6	13.2	0.5–1
Change in stocks	953	500	..	..	..
Exports	20,765	22,020	10.6	7.2	6
Goods (excl. ships)	9,459	10,100	15.3	5.2	6.5–7
Ships	909	725	6.2	33.8	–20
Gross freight earnings	8,320	8,910	5.9	8.6	7
Other services	2,077	2,285	12.2	1.5	10
Total demand	76,590	79,970	6.8	7.0	4.5
Imports	21,040	21,990	8.1	9.5	4.5
Goods (excl. ships)	13,321	14,150	11.5	7.9	6–6.5
Ships	2,593	2,400	–7.3	24.0	–7.5
Shipping expenses abroad	3,680	3,890	5.7	6.5	5.5–6
Other services	1,446	1,550	19,0	4.6	7–7.5
Gross national product	55,550	57,980	6.3	5.9	4.5

Source: Revised National Budget, 1966.

construction. The revised national budget published in the spring expected an increase in building starts from less than 30,000 in 1965 to 33,500 in 1966, despite a decline in the first quarter. This estimate, however, based as it was on a rather strong increase in employment in building and construction, may prove difficult to achieve, given the limited increase in the total labour force and continuing strong demand in other sectors. Total gross fixed investment (excluding ships) was expected to rise by 7 per cent from 1965 to 1966.

Inventory accumulation may continue at a relatively high level in 1966, but it should be much smaller than in 1965 when there was an especially strong build-up of stocks in the export industries. Stocks of imported goods were also increased rather substantially, by an amount representing 40 per cent of the increase in imports.

In the last few years private consumption has been rising rather less than aggregate demand, with its share in GNP falling from 59 per cent in 1960 to 54 per cent in 1965 (according to OECD definitions). The proportion of wages in the national income fell in 1964 and 1965, and this was

an important factor behind the moderate increase—less than 3 per cent in volume—in private consumption last year. The movement of private consumption was also affected by large purchases in anticipation of the increase in the general sales tax towards the end of 1964. In 1966, private consumption should rise by 4 to 5 per cent in real terms, in line with GNP.

The rise in public consumption has been irregular in recent years, reflecting mainly fluctuations in net contributions for defence purposes from abroad and, thereby, in defence expenditure. In real terms, the increase in public consumption should slow down from almost 11 per cent in 1965 to less than 3 per cent in 1966, with a probable decline in military expenditure this year.

Incomes and Prices

The movement of the main categories of income is summarised in Table 3. The sharp increase in the total factor income in 1965 reflected not only the strong growth of output but also an improvement in export prices. In 1964 and 1965 taken together, the rise in real domestic incomes resulting from the improvement in terms of trade represented more than 1.5 per cent of a year's GNP. Since the rise in prices was smaller in 1965 than in 1964, the acceleration was more marked in the growth of real than of nominal incomes. With the moderate increase in private consumption last year, net private savings (personal and corporate) rose by 40 per cent to 14 per cent of the net national product, the highest rate experienced since 1956. The net national savings ratio rose to 19.6 per cent, a higher rate than in most other Member countries.

TABLE 3. **FACTOR INCOMES**

	KR. MILLION					PERCENTAGE CHANGE ANNUAL RATES		
	1957	1958	1963	1964	1965	1957-1963	1963-1964	1964-1965
Total factor income	23,081	22,481	32,085	35,513	39,629	4.5	10.7	11.6
Wages and salaries[1]	13,365	14,170	21,081	22,590	24,860	7.9	7.2	10.0
Other private income	9,490	7,981	10,440	12,421	14,257	1.6	19.0	14.8
Public and foreign unearned income	226	330	564	502	512	14.0	—11.0	2.0
Wage and salary income as percent of factor income	57.9	63.0	65.7	63.6	62.7	..	..	..

1. Including fringe benefits paid by the employers.
Source: Revised National Budget, 1966.

Average wages per man-year increased by 8.5 per cent from 1964 to 1965; in constant prices the rise was 4.4 per cent, faster than in the preceding year. The wage settlements in recent years have provided for relatively high increases to lower paid groups, but the intended equalisation in the income distribution has been offset by stronger wage-drift for the higher paid groups; it may be, however, that the gap between lower and higher wages would have widened in the absence of such increases. Non-wage incomes rose by 14 per cent in 1965; although significant, the increase was smaller than in 1964 because the increase in exports was smaller than in 1964. The decline in the share of wages in 1964 and 1965 represented a cyclical movement strongly influenced by higher capacity utilisation and export prices, following an opposite movement in 1962 and 1963.

In the spring of the present year, assisted by official mediation, the central trade union and employers' organisations reached agreement on a new settlement covering, or setting the pattern for, most wage earners. This provided for wage increases of 3.75 per cent from May 1966 and 2 per cent from April 1967. Hourly wage costs, including an increase in employers' social security contributions (but excluding wage-drift), should rise by 8 to 9 per cent over the two-year period. At about the same time the Government and the farmers' organisations agreed on a two-year settlement providing for a 15 per cent increase in farmers' incomes, two-thirds of which effective from July 1966; this is in addition to the increase in productivity in agriculture, which is increasing by about 2 per cent per year. The higher income will almost exclusively be obtained by an increase in prices, with little increase in subsidies. Both settlements include price escalation clauses, providing for automatic increases in wages and farmers' incomes if the consumer price index (1959 = 100) should rise to 130 or more; in May the index stood at 125.3. The agricultural agreement was approved by the farmers, but only on the assumption that the wage settlement would be approved by the members of the trade unions and the employers' organisations. The settlement was, however, rejected in a referendum among trade union members. In the negotiations between the civil servants and the Government, no agreement was reached with the biggest union. The settlement between the trade unions and the employers as well as the one between the civil servants and the Government was submitted to the Official Arbitration Board for compulsory arbitration.

The main difference between the Board's decision and the rejected settlement is that the general wage increase for 1967 foreseen by the latter (about 1 per cent) will be granted already this year. According to the Board's decision average wages will therefore be increased by about 5 per cent in 1966 and by about 1 per cent in 1967. The agricultural agreement has been revised along the same lines.

The movement of incomes, particularly in industry and construction, is also importantly affected by wage-drift. In the last two years, wage-

TABLE 4. **DEVELOPMENT OF PRICES**

Percentage change.

	IMPORT PRICES *(Excl. ships)*	WHOLESALE PRICES	CONSUMER PRICES	BUILDING COST[1]
1960-1961	—1.0	1.0	2.6	4.2
1961-1962	—1.0	2.0	5.2	3.7
1962-1963	1.0	1.0	2.6	1.6
1963-1964	1.0	3.9	5.7	3.8
1964-1965	0.0	2.8	4.3	5.2
March 1965-March 1966	—1.0[2]	1.8	2.7	3.2

1. A/S Stormbull's index of total building costs for dwellings in Oslo.
2. 4th quarter 1964 to 4th quarter 1965.

Source: Monthly Bulletin of Statistics.

drift in industry has amounted to about 3.5 per cent per year. Assuming a continuation of this trend, hourly industrial wage costs should rise by 9-10 per cent in the first year of the wage settlement, more than the increase in productivity; last year output per man-year rose by 6 per cent. The rise in costs should be smaller in 1967.

The consumer price index, following an increase of 3 per cent during the first half of 1965, remained stable in the second half. During the first four months of the present year, the index rose by 1.7 per cent. The effect on the consumer price index of the new agricultural settlement has been estimated at 1.0 to 1.5 per cent in 1966. The wage settlement will entail some increase in average unit labour costs in industry, particularly in low wage sectors. Taken together, the two settlements may cause an increase in the consumer price index of at least 2 per cent. Furthermore, increases in excise taxes will correspond to about 0.3 per cent in the index. The additional increase in the index needed to release automatic wage and income increases is less than 2 per cent, but the authorities feel there is a good chance that this can be avoided in the present year.

The Balance of Payments

The current external deficit amounted to about $100 million in 1965. This was more than in 1964, but less than in earlier years. In view of the high imports of ships and the strong expansion of the economy, the deficit was relatively moderate. The trade deficit (excluding ships) rose but this was more than offset by the increase in shipping earnings. The authorities expect the current deficit to rise somewhat in 1966, partly because of a further deterioration of the trade balance. In the first four months of the

year, however, the deficit only amounted to $6 million (i.e. $63 million less than in the corresponding period of 1965), mainly because of a delay in ship imports.

TABLE 5. THE BALANCE OF PAYMENTS[1]

$ *million.*

	1964	1965	1966[2]
Imports of goods, c.i.f.	—2,001	—2,228	—2,317
of which: ships	—278	—363	—336
Exports of goods, f.o.b.	1,298	1,451	1,501
of which: ships	89	127	101
Trade balance	—703	—777	—816
of which: ships	—189	—236	—235
Net freight earnings	596	650	665
Other services, net	90	88	105
Balance on goods and services	—17	—39	—46
Interest and transfers, net	—57	—63	—77
Balance on current account	—74	—102	—123
Net lending by exports of ships	—10	—30	—10
Redemptions: Public administration	—36	—26	—27
Public enterprises	—6	—7	—6
Other sectors[3]	—8	—17	—14
Net borrowing by imports of ships	48	95	56
Borrowing by public administration	92	64	39
Borrowing by public enterprises	33	54	35
Other borrowing	46	104	63
Other known capital movements	—22	—8	
Errors and omissions	—22	29	—13
Change in foreign exchange reserves	41	156	

1. According to Norwegian definitions. The balance of payments according to OECD definitions is shown in Annex Table VII.
2. Official estimates.
3. Excluding shipping firms.

Source: Revised National Budget, 1966.

Merchandise imports (excluding ships) rose by about 8 per cent both in value and volume in 1965. The import increase was associated with the strong expansion of economic activity and by a build-up of stocks of imported goods. The rise in imports remained strong in the first five months of the present year (+ 9 per cent); three-quarters of the increase in imports was accounted for by fuels, raw materials, semi-finished goods and machinery and equipment. The authorities expect little slowdown in the increase of imports during the rest of the year.

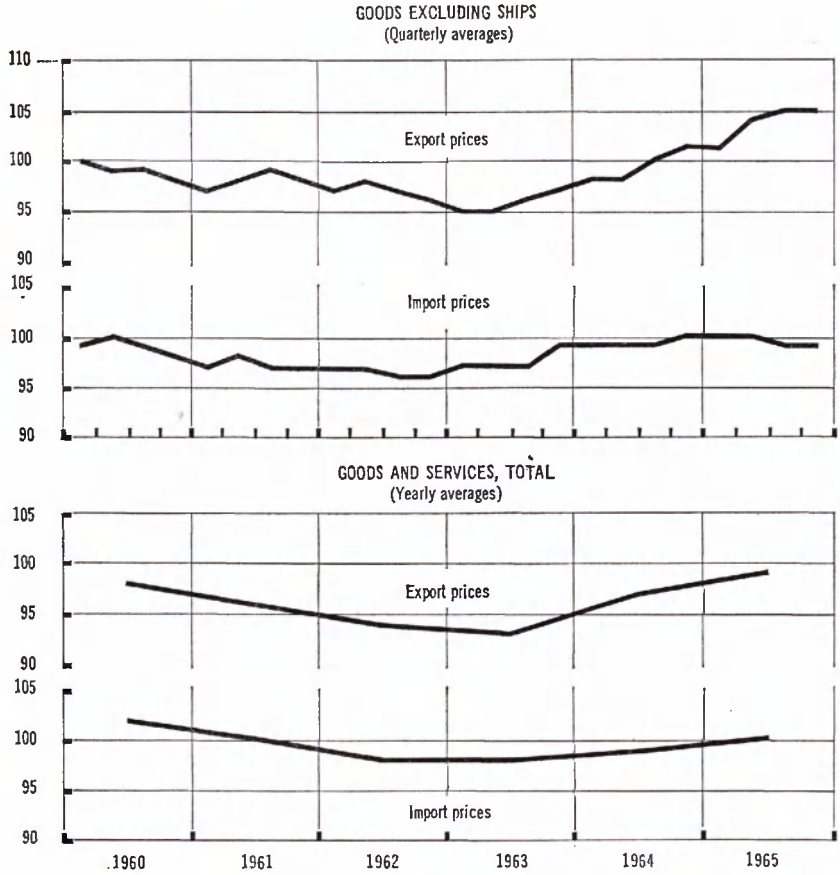
The increase in shipping earnings in 1965 reflected mainly the strong growth of the merchant fleet. The authorities expect a smaller increase in shipping earnings in 1966, because of a probable decline in freight rates. The volume of shipbuilding contracts placed abroad rose sharply in 1965

to a peak level of 2.8 million gross tons. The value of the contracts amounted to about $500 million, higher than in any year since 1956. The placement of new orders has continued at a high rate in 1966.

The strong improvement of the terms of trade in recent years appears from Diagram 1. The authorities expect a reversal of this movement in 1966.

As in earlier years, the current deficit was to a large extent covered by shipbuilding credits; these rose strongly last year, reflecting the higher imports of ships. Other borrowing abroad also rose substantially, especially on private account, and the gold and foreign exchange reserves of the

Diagram 1. **EXPORT AND IMPORT PRICES**
1955 = 100



Sources : Monthly Bulletin of Statistics, National Accounts 1865-1960 and Economic Survey 1964 and 1965.

authorities, the banks, the insurance companies and the shipowners increased by $156 million; official reserves rose by $89 million to $451 million at the end of 1965. The first four months of the present year saw little change in reserves.

Recent Policy Measures

In 1966, as in the last two years, the object of stabilisation policy is to restrict rather than stimulate the growth of demand. A number of monetary measures have been taken to this end, and budgetary policy is also more restrictive than in 1965.

The Government Budget

The 1965 budget showed a surplus on current and investment account (financial savings) of about Kr. 200 million, less than in 1964, but much more than envisaged at the beginning of the year. This was mainly because

TABLE 6. CENTRAL GOVERNMENT BUDGET

Kr. million.

	1963 ACTUAL	1964 ACTUAL	1965		1966 APPROVED BUDGET
			ACTUAL	APPROVED BUDGET	
Total revenue	8,317	9,213	10,225	10,388	11,096
Purchase of goods and services, and transfers	8,078	8,901	10,023	10,365	11,047
Current expenditures	3,072	3,563	4,017	4,331	4,632
New buildings, construction, etc.[1]	1,502	1,637	1,679	1,749	1,877
Transfers to others	3,504	3,701	4,327	4,285	4,538
Surplus on current and investment account (financial savings)	239	312	202	23	49
Loan transactions	1,372	1,612	1,559	1,378	1,427
Loans to State banks (incl. interest-free loans)	728	814	921	841	959
Debt redemption	589	606	498	499	423
Other loans, share subscriptions, etc.	71	212	161	55	68
Redemption payments received	—16	—20	—21	—17	—23
Overall balance[2]	—1,133	—1,300	—1,357	—1,355	—1,378
Changes from previous year, per cent[3]*:*					
Total revenue	9.3	10.8	11.0	..	6.8
Purchase of goods and services, and transfers	11.8	10.2	12.6	..	6.6
Current expenditures	10.3	16.0	12.7	..	6.9
New buildings, etc.[1]	2.2	9.0	2.6	..	7.3
Transfers	17.9	5.6	16.9	..	5.9

1. Defence building and construction included.
2. Before public borrowing.
3. For 1966 compared with approved budget 1965.

Source: Revised National Budget, 1966.

the Government's purchases of goods and services rose less than earlier envisaged, and more slowly than in the preceding year. Lending to the state banks rose, continuing the upward trend of earlier years. But this was more than offset by declines in other lending transactions so that total loans fell.

The approved 1966 budget is expected to show a small increase in financial savings. The Government's purchases of goods and services are likely to rise less than in 1965, although some of the shortfall in spending in 1965 will be made good in the present year. The increase in transfer payments should slow down considerably. Total lending to other sectors is expected to show a further decline compared with the actual figures for 1965, but within the total the loans to the state banks show a further increase. To avoid an automatic increase in the rate of direct taxation because of the rise in prices and incomes, tax rates were adjusted somewhat both in 1965 and in 1966.

In order to prevent an undesirable increase in demand, resulting chiefly from the income settlements, the excise taxes on gasoline, alcoholic beverages and tobacco were increased on 1st July. The revenue increases are estimated at Kr. 160 million a year, about 1.5 per cent of total Central Government revenues. Moreover efforts are being made to cut public expenditure.

The long-term programme for 1966-1969 was based on a government budget covering the same four years. The budget was prepared within the administration without committing the Government. It was not presented to the Storting and has not been published. Nevertheless, the long-term budget has proved to be a useful instrument in the preparation of the annual budgets. The 1966 budget is very largely in accordance with the longer-term budget, and the latter is also forming the basis for the preparation of the 1967 budget. Future policy as to the question of longer-term government budgets is under consideration by the Government. A White Paper on the long-term economic programme will be submitted to the Storting in the autumn.

Monetary Policy

The total supply of credit rose rather sharply in 1965 because of a strong increase in borrowing abroad; the expansion of credit from domestic sources was somewhat smaller than a year earlier. The total supply of liquidity rose in 1965. This was due to the sharp increase in the foreign exchange reserves. Other government and central bank transactions served to reduce liquidities.

Action to limit the credit expansion in 1966 has included measures to influence bank liquidity and measures aimed at a direct impact on the supply

of credit. Pursuant to the Monetary and Credit Act adopted last year[1], commercial and savings banks have been subjected to minimum reserve requirements. The introduction of a progressive interest rate on bank borrowing above certain limits from the Central Bank is also designed to restrict the increase in the credit base of the banks.

TABLE 7. NET INCREASE IN LOANS FROM MAJOR DOMESTIC CREDIT SOURCES AND FROM FOREIGN SOURCES

Kr. million.

	1963	1964	1965
Commercial banks:			
Norwegian kroner	406	589	698
Foreign exchange	6	141	—186
Savings banks	484	473	494
State banks	733	784	865
Life insurance companies	321	351	380
Loan associations	132	321	377
Share issues[1]	203	361	351
Bond issues[2]	304	309	255
Increase in loans from domestic credit sources	2,589	3,329	3,234
Shipping companies' borrowing abroad, net	1,098	344	680
Other private and municipal borrowing abroad, net[3]	256	365	729
Total increase in borrowing	3,943	4,038	4,643

1. Excluding shares issued by the financial institutions.
2. Net borrowing from other than Government and financial institutions.
3. Corrected for changes in foreign reserves.

Source: Norwegian submission to OECD.

Following the adoption of the new legislation referred to above, the private credit institutions withdrew from the Joint Consultative Council. In earlier years, this Council—which had consisted of representatives of the authorities, the banks and the insurance companies—has set certain ceilings on bank credit and a minimum amount of long-term bonds to be bought by the banks and the insurance companies. In March 1966, a Commission on Credit Policy was established under the chairmanship of the Minister of Finance. This body also consists of representatives of the authorities, the banks and the insurance companies, but it will mainly serve as a forum of discussion on credit policy problems, thus having a more limited task than that of the earlier Council.

The authorities are aiming at limiting the rise in the domestic supply of credit to Kr. 200 million in 1966, most of it channelled through the state

1. Economic Surveys, Norway, OECD, July, 1965.

banks and the loan associations, in line with the objective of achieving a strong increase in residential construction. The Government has stated that credit policy is based on the assumption that the expansion of other bank credit will be kept within certain stipulated limits, and that the minimum reserve requirements will be tightened if necessary to ensure observance of these limits. The life insurance companies have agreed to subscribe to new government loans and to increase their bond holdings, while the savings banks have refused to do so. A ceiling has been imposed on borrowing abroad by the private sector (excluding the shipping companies) and the municipalities.

TABLE 8. **CREDIT OBLIGATIONS AND ACTUAL DEVELOPMENT**

Kr. million.

	OBLIGATIONS 1965[1]	ACTUAL 1965	POLICY TARGETS 1966
Commercial banks:			
Increase in lendings, (max.)	491	512	600
Increase in bond holdings	..[2]	135	..[2]
Savings banks :			
Increase in lendings (max.)	421	494	500
Increase in bond holdings (min.)	291	160	135
Insurance companies :			
New Government loans, subscription (min.)	167	162	175
Increase in bond holdings (min.)	297	281	250

1. Obligations according to credit agreement for 1965 corrected for actual development of deposits, obligations not fulfilled in 1964, etc.
2. No quantitative targets fixed. Some increase assumed.

Source: Norwegian submission to OECD.

In the first three months of the year the expansion of bank credit was roughly in line with the limits stipulated by the authorities, but April and May showed a sharp acceleration. This has led the authorities to tighten the liquidity requirements. The volume of funds raised in the capital market by private and municipal borrowers has so far been lower than a year earlier because no new loans were issued in March, April and May, due to disagreement between the authorities and the credit institutions about the terms that should be permitted for new issues. Long-term bond yields in Norway are much lower than in most other Member countries. The Government has borrowed rather more in the capital market than last year.

Building Controls

The authorities have stated that the building permit system will be maintained for the time being, although industrial building activity in areas with no pronounced labour shortage and school buildings have recently been exempt from control. The areas at present subject to building controls comprise hospitals, commercial premises, warehouses and the like, in all parts of the country, and industrial premises and hotels in the main pressure areas around the biggest cities. The quota for the regulated building sector has been only slightly increased from 1965 to 1966 in order to leave room for a strong expansion of house-building. Since it is doubtful that employment in the building and construction sector can be increased as much as assumed by the existing building programme for 1966, measures are being considered to increase both productivity and the employment in the building sector.

II. INCOMES POLICY

This is a field where government policy has been active throughout the post-war period. The objective of this policy has been twofold:—to keep the rise in nominal incomes as far as possible in line with the growth of production, or at least to avoid a deterioration of the competitive position of Norwegian industry; and to ensure a reasonable income distribution. Norwegian incomes policy was reviewed in last year's Survey[1]. The emphasis then, however, was on subsidy policy. Given recent developments in the field of incomes policy a further review may be of some interest, even at the risk of some repetition.

A number of instruments have been used—price control, dividend control, subsidies, and various other forms of official intervention in the income-determining process. Moreover, legislation governing wage negotiations and labour conflicts, providing inter alia for cooling-off periods and official mediation, forms an essential part of the institutional set-up in which incomes policy is operating. The object of the following paragraphs is not to review government incomes policy in all its various aspects, but rather to consider the features of this policy which would seem to be of particular importance from the point of view of maintaining financial stability, and the progress that has been made in this respect in recent years.

A key element of Norwegian incomes policy is the importance attached to achieving co-ordination in time of the major income settlements, i.e., the wage settlements and the agreements on farmers' and fishermen's incomes. It is felt by the authorities that the competitive element in income

1. Economic Surveys, Norway, OECD, July, 1965.

determination—the efforts made by individual sectors to maintain or improve their relative positions—can be reduced by better co-ordination; and that it should at least be possible to reduce the need for individual groups to "protect" themselves against expected but unknown increase in incomes of other groups. Experience suggests that collective bargaining undertaken by the central labour and employer organisations tends to lead to settlements better in line with the real scope for higher wages than decentralised bargaining. It seems that the larger the number of income earners covered by the negotiations, the greater the likelihood that general economic factors will be taken into consideration.

The efforts made to achieve better co-ordination have been pursued on two levels. The Government has in general favoured collective wage bargaining undertaken by the central labour and employer organisations, rather than decentralised bargaining at the union level. But since there are necessarily a large number of issues which have to be settled at the lower level, a combination of centralised and decentralised bargaining was tried in the 1966 negotiations. At the central level, agreement was sought on general wage increases, of which a part was set aside for settlement of special issues at the union level; the increases resulting from negotiations at the union level therefore had to be kept within the limits set by central bargaining. From the point of view of technique, this procedure is generally regarded as an improvement.

Moreover, the authorities have sought to achieve better co-ordination of collective wage bargaining and the income settlements of the farmers and fishermen; the two latter groups negotiate with the Government because their incomes depend on various forms of government support. Previously, the farmers' income negotiations typically took place after the wage negotiations. Experience showed, however, that under this system, the income increases of both groups tended to exceed the real scope for higher incomes, entailing a rise in prices. It seemed likely that co-ordination could produce better results. A first attempt was made in 1956 when the Minister of Finance informed the parties concerned of the Government's intention to reduce subsidies, and proposed a standard increase in both wages and farmers' incomes. The subsequent settlements largely followed this proposal, and thus represented some measure of success of incomes policy. The success of this attempt, however, was also influenced by the Government's willingness to increase subsidies again in order to maintain reasonable price stability after the settlements.

In recent years, considerable progress has been made in establishing machinery facilitating the co-ordination of income settlements. In September 1962, well before the expiration in 1963 of most wage contracts and the agreement on farm prices, an unofficial "Contact Group" was established, consisting of the Prime Minister, the Minister of Finance, the Minister of Prices and Wages, and representatives from the trade unions,

the employers' associations and the farmers' and fishermen's organisations. A series of meetings was held to keep the various organisations informed of the economic situation and provide their representatives with an occasion for discussions before the individual parties had fixed their strategy for the wage and incomes negotiations. In later meetings the parties kept each other informed of the development of their own wage negotiations and of the negotiations between the authorities and the farmers and fishermen. This probably helped to achieve reasonable settlements. The wage negotiations, following official mediation, resulted in a one-year agreement providing for an average increase of 2.5 per cent, and the agricultural settlement implied a similar relative increase in farmers' incomes. Both settlements were based on the assumption that the Government would contribute to the stabilisation of prices through the remainder of the year by increasing consumer subsidies by an amount of Kr. 150 million, representing about 2 per cent of central government expenditure.

In 1964, when most wage and income agreements expired, the authorities again arranged a number of meetings of the Contact Group with a view to co-ordinating the various settlements. The negotiations between the trade union and the employers, however, broke down, and official mediation failed to produce agreement. To prevent strikes, the Government referred the dispute to the Official Arbitration Board whose decision, legally binding, provided for average increases in wage rates in the industries concerned of 3.2 per cent in 1964 and 1.6 per cent in 1965. An index clause provided for re-negotiation if the consumer price index should rise above a certain level. The negotiations between the Government and the farmers' organisations also ended without an agreement being reached. After an offer of voluntary arbitration had been turned down by the farmers' representatives, the settlement was submitted to a specially-appointed board for compulsory arbitration. The board's decision provided for a sharper percentage increase in farm incomes than in wage incomes over the period, because the farmers were considered as a low income group. The negotiations between the Government and the fishermen's organisation ended with agreement on a support scheme covering the following two-year period.

In 1965, facing the possibility of price index revisions of the income settlements of the previous year, the Government held another series of meetings in the Contact Group. And an attempt was made to establish a better factual basis for income negotiations. A group of experts representing the Government, agriculture and the two labour market organisations was formed. The object of the group was to report on matters of fact and, thus, relieve the Contact Group from purely factual discussion. On the basis of the discussions in the Contact Group, the subsequent negotiations between the parties concerned led to a co-ordinated price and wage agreement. The wage increases averaged 4.5 to 5 per cent (including the 1.6 per cent provided for by the previous year's settlement). The farmers received a somewhat higher percentage increase.

The aim of improving the factual basis for income settlements was brought an important step forward in the 1966 negotiations. As in earlier years, the Government arranged a number of meetings of the Contact Group. But the authorities also, towards the end of 1965, called upon a group of three independent economic experts to "provide a review of recent developments affecting production and wages and such material and other data as are necessary to an assessment of the real economic basis for the 1966 wage and income settlements." In addition to the review of recent developments the report, on the basis of an econometric model, estimated the repercussions in 1966 and 1967 of alternative increases in wages and agricultural prices on consumer prices and real incomes, distinguishing between wages, farmer's and fishermen's incomes, profits in non-farm industries exposed to foreign competition, and profits in non-farm industries not exposed to foreign competition. Those responsible for the income negotiations therefore had a much better basis than earlier for judging the effects of the income settlements.

As already noted in Part I of this Survey, the central labour market organisations assisted by official mediation reached agreement last spring on a two-year settlement, and the Government and the farmers also agreed on an agricultural price revision. But since the wage agreement was rejected in a vote amongst trade union members, it was submitted to an official arbitration court. The Board's decision is outlined in paragraph 14.

Apart from efforts to establish machinery facilitating better co-ordination, two other instruments have also been used in recent years, subsidy policy and compulsory arbitration. Price subsidies have been used to prevent a rise in the cost-of-living index which would justify new wage and income negotiations before the expiration of the existing contracts. Such increases of subsidies have in most cases been supposed to be temporary with the reduction taking place just before the normal wage and income negotiations. Although this led to higher wage claims, it is thought that the total increase in nominal incomes would have been greater had there been an increase in connection both with an index settlement and with the normal negotiations. Occasionally, however, the reduction of subsidies has been postponed or curtailed in order not to complicate negotiations. On two occasions, in 1963 and 1965, the Government increased subsidies to convince wage earners that the purchasing power of their wage increases would not be lost, and thus obtain their acceptance of a rather modest wage settlement.

On the subject of subsidies as a means of influencing income negotiations, last year's Survey concluded that "temporary changes in their amount may constitute a useful policy instrument when a large proportion of wage and other incomes are regulated by the cost-of-living index. And the general absence of work stoppages during most of the post-war period

may also, to some extent, have been due to the role of price subsidies in the wage-negotiation process. On the other hand, the demand effects of increases in price subsidies may run contrary to other aims of economic policy, and higher subsidies conceal the consequences of excessive increases in nominal incomes. It would be desirable to explore the possibility of achieving the favourable effects of the policy at lower levels of total price subsidies."

Compulsory arbitration has been used on several occasions to deal with conflicts in individual sectors. But 1964 was the first time that a *general* wage settlement was referred to it. In that year the agricultural settlement was also submitted to compulsory arbitration. In both cases the decision was about half-way between the last offer and claim. From the point of view of economic stability, the resulting increases in wages and farmers' incomes could hardly be said to have been excessive. But although compulsory arbitration was accepted as the only solution at the time, all parties concerned made it clear that, in principle, they preferred agreements reached between themselves. Some observers feared that compulsory arbitration might make it more difficult to reach agreement in the future. This, however, does not seem to have been the case. Agreements were reached on wages as well as farmers' incomes by the parties concerned in both 1965 and 1966, although in the current year the wage settlement has not been approved by trade union members. In 1966 also, the authorities felt that compulsory arbitration was the best solution to the conflict, preferable to very widespread strikes, but whether this will render future negotiations more difficult is an open question.

It may also be noted that the authorities have legal possibilities to regulate prices and profit margins and to intervene in restrictive business practices, and that this is the main instrument used to influence non-wage incomes. At the beginning of each year the Government submits a report to the Storting on the guiding principles it intends to follow. The extent to which price control has been used has varied with the situations. In 1965 about 50 per cent (by value) of the goods and services covered by the cost-of-living index were subject to various types of controls. These controls, however, mainly covered food products and rents. With regard to most other goods and services, the authorities rely mainly on efforts to strengthen competition, notably a progressively more liberal import policy.

It is probably too early to draw any very hard and fast conclusions from Norway's recent experience with incomes policy. But the increases resulting from wage and income negotiations have been relatively moderate even though these negotiations have taken place in conditions of very high pressure of demand and marked shortage of labour, a situation not generally considered very conducive to the efficient operation of an incomes policy. It therefore seems reasonable to assume that the relatively moderate size of

the negotiated income increases can to some extent be ascribed to the Government's incomes policy One particularly interesting aspect would seem to be the machinery being established to achieve better co-ordination of the various settlements. The expert report on the likely effects of alternative income increases, based on modern econometric techniques, would seem to represent an important step forward.

The system that is being developed is still, however, at a tentative stage, and setbacks may be unavoidable, given the nature of the task of income co-ordination. It may prove difficult to maintain collective bargaining at the centralised level. A number of issues have to be settled at the individual union level. The fact that the 1966 wage settlement was rejected by trade union members, and recent public debate in Norway point to some dissatisfaction with the size of the wage settlement and the procedures under which it was achieved; this may have implications for future settlements. Assessment of the results of incomes policy must also take account of the fact that wage-drift has been substantial, averaging 3 to 4 per cent a year in manufacturing industry, so that total hourly earnings have risen relatively fast, in most years exceeding the advance in productivity. It should also be noted that there are still important groups which do not participate in the contact group, notably white collar workers.

The lessons of this experience for other countries are difficult to assess. Attitudes and institutions vary from country to country. The degree of co-ordination of wage settlements achieved in Norway, for example, has clearly been facilitated by the pyramid structures of the trade unions and the employers' organisations, with considerable power at the top. A high degree of co-ordination would probably be useful in many countries, although the routes to achieve it might have to be different. Moreover, a better factual basis, even if it did not amount to much more than a more accurate picture of past movements of the various categories of incomes, should facilitate income negotiations. The further step of estimating the probable effects of income settlements should be useful in all countries.

The progress made in Norway does not mean that prices have been more stable than elsewhere. In fact, the rise in prices has been considerable, and no less than in many other countries, except perhaps for 1965. Negotiated income increases are not the only determinant of price developments. The pressure of demand has been very high in most recent years; this has probably been an important factor in itself and has led to considerable wage-drift so that total wages have risen rather faster than productivity. Moreover, the domestic price level is heavily influenced by trends abroad, given the country's large foreign trade; inflation abroad increases the scope for higher costs and prices at home without jeopardizing competitiveness. Nevertheless, despite the upward movement of domestic costs and prices, there are indications that the relative cost and price position of Norwegian industry has remained stable or improved in recent years (Table 9).

TABLE 9. **NORWAY'S COMPETITIVE POSITION[1]**
(1958 = 100)

YEAR	WHOLESALE PRICES		LABOUR COST ALL SECTORS[2]		LABOUR COST MANUFACTURING[3]	
	NORWAY	COMPETITORS	NORWAY	COMPETITORS	NORWAY	COMPETITORS
1953	90	95.0	79.0	84.0	89.0	87.0
1954	92	94.5	81.0	86.0	89.5	88.0
1955	94	95.5	85.5	88.0	92.0	88.5
1956	98	99.0	89.5	93.5	94.0	93.0
1957	102	103.0	94.0	97.0	98.0	97.5
1958	100	100.0	100.0	100.0	100.0	100.0
1959	100	99.5	103.5	100.0	104.0	99.0
1960	101	100.5	104.0	103.0	103.0	101.5
1961	102	102.0	105.0	107.5	108.0	108.0
1962	104	103.0	114.0	112.5	115.0	111.5
1963	105	105.0	116.0	117.5	115.5	115.0
1964	109	107.5	..	..	115.0	116.5
1965	112	109.5	..	..	118.0	121.0

1. Time series for competitive countries have been weighed together with a set of coefficients taking account of the importance of the country's competitive exports to the Norwegian home market and the importance of its competitive position on the Norwegian export markets.
2. Total wage bill per GNP unit.
3. Direct labour cost per output unit in manufacturing, according to indices of production, employment and hourly earnings.

Source: Norwegian Ministry of Finance.

III. ECONOMIC GROWTH

Major Trends 1951-1965

During the 1950's, real GNP rose on average by 3.8 per cent a year, with some slowdown in the second half of the decade. According to OECD definitions (excluding repairs and maintenance) the rate was somewhat lower than this, and almost 1 per cent a year beneath the average for Member countries combined. After this ten year period of relatively modest economic growth, the expansion accelerated strongly in the first half of the 1960's to an average annual rate of more than 5 per cent, well above that of most other industrialised OECD countries. Only Ireland saw a more substantial acceleration in growth over this period. In the 1961-1965 period the expansion was faster than in any preceding five year period, except the years following the last World War.

The contribution to GNP of agriculture, forestry and fishing taken together fell rather steadily from 12 to 8 per cent between 1950 and 1965, and whaling has practically ceased to play any role in the national economy. In current prices, the relative importance of manufacturing also declined

TABLE 10. INCREASE IN REAL CAPITAL, EMPLOYMENT AND PRODUCTION, 1951-1969

Per cent per year.

		AGRICULTURE, FORESTRY, FISHERY, WHALING	INDUSTRY[1]	SHIPPING	SERVICES	TOTAL
Increase in real capital	1951-55	1.6	6.8	6.8	4.5	4.5
	1956-60	1.4	5.0	7.1	4.0	4.0
	1961-65	1.3	5.8	4.6	4.1	4.1
	1966-69	1.6	5.7	4.7	4.2	4.2
Increase in employment (man years)	1951-55	—3.1	1.1	1.7	1.9	0.2
	1956-60	—2.8	—0.4	3.8	1.5	—0.1
	1961-65	—2.6	1.3	0.0	2.0	0.7
	1966-69	—2.4	1.1	0.0	1.8	0.7
Increase in GNP	1951-55	0.3	4.1	7.0	4.4	4.0
	1956-60	0.5	3.4	7.7	3.5	3.7
	1961-65	0.4	5.7	7.8	5.4	5.3
	1966-69	1.2	5.4	6.8	4.1	4.7
Increase in GNP per man year	1951-55	3.5	3.0	5.2	2.5	3.8
	1956-60	3.4	3.8	3.8	2.0	3.8
	1961-65	3.1	4.3	7.8	3.3	4.6
	1966-69	3.7	4.3	6.8	2.3	4.0

1. Including mining, manufacturing, electricity production, and building and construction activity.
Source: National Accounts 1865-1960, Economic Survey 1964 and 1965 and Long-Term Programme 1966-1969.

during the 1950's its share falling by 2.4 percentage points, but this trend has reversed itself in the 1960's. In fixed prices, however, industrial output rose faster than GNP also in the 1950's, and in the 1960-1965 period the growth rate of this sector reached an annual average of 5.7 per cent. The rapid increase in the service industries' share of GNP, especially up to 1960 therefore to some extent reflected changes in relative prices.

On the expenditure side the volume of gross fixed asset formation rose by 3.7 per cent a year between 1950 and 1960, and by 6.7 per cent between 1960 and 1965. Private consumption followed a smoother trend, but the expansion was faster also in this item after the turn of the decade. Public consumption rose considerably faster than other GNP components throughout the period, but the year-to-year movement was irregular, influenced by fluctuating military expenditure. The increase in civilian public consumption taken separately, however, accelerated steadily during the fifteen-year period.

TABLE 11. **BALANCE OF RESOURCES 1950–1969**

Percentage distribution (current prices).

	1950	1955	1960	1965	1969
Private consumption	60.5	55.8	54.3	50.6	50.0
Public consumption	8.9	10.3	11.1	13.0	12.6
Civilian	6.8	6.9	8.2	9.6	9.6
Military	2.1	3.4	2.9	3.4	3.0
Gross fixed asset formation	33.6	36.4	35.2	35.2	34.6
Ships and boats	8.7	9.7	8.0	7.5	6.6
Other fixed asset formation	24.9	26.7	27.3	27.7	28.0
Change in stocks	1.8	0.3	1.1	1.7	0.8
Domestic demand	104.8	102.8	101.7	100.5	98.0
Exports of goods and services	36.7	38.4	38.1	37.4	41.3
Imports of goods and services	41.5	41.2	39.8	37.9	39.3
Gross national product	100.0	100.0	100.0	100.0	100.0

Source: National accounts 1865-1960, Revised National Budget 1966 and Long-Term Programme 1966-1969.

In real terms, both exports and imports expanded more rapidly than GNP in each of the five-year periods from 1950 to 1965. But in value terms exports as a percentage of GNP fell from 1955 to 1965, and the ratio of imports to GNP is today even substantially lower than fifteen years ago, with a particularly marked decline after 1960. Nevertheless, foreign trade in goods and services still represents some 38 per cent of total output, a higher ratio than in many other Member countries. It is no doubt a prerequisite for a further satisfactory growth that the conditions for Norwegian exports in the main OECD countries develop favourably.

Growth-promoting Factors

Existing statistics and analytical tools make it difficult to take into consideration all the factors that have played a role in the growth process or to determine their relative importance. The following paragraphs attempt to trace the more important factors, both on the demand and supply side, explaining the acceleration in growth.

Demand

During most of the period under consideration, the pressure of demand was high. There were tendencies towards cyclical slacks in 1951-52, 1957-58, and 1961-62. But these were mild and short-lived, reflected in a slowdown of the rate of growth rather than in an actual reduction of output, except between 1957 and 1958, when real GNP fell slightly, and investment demand weakened. On the whole the investment rate was high throughout.

Differences in the pressure of demand, and the rate of capacity utilisation, are therefore unlikely to explain much of the acceleration in growth, although it is possible that the adverse effects of cyclical slacks were more pronounced in the 1950's than in the first half of the 1960's.

In the immediate post-war years, output had expanded very fast in a protected domestic market, and the rate of capacity utilisation was very high. The removal of quantitative restrictions on imports in the 1950's, entailing a move towards sharper competitive conditions, probably meant adjustment to a situation with a temporary lower average rate of capacity utilisation. It may therefore be that the favourable effects of the trade liberalisation became apparent mostly in the 1960's.

It may also be that, in the last few years, the pattern of demand has been better adapted to the structure of production. The strong rise in world trade in 1964 and 1965, enabled a sharp and fairly general increase in exports and a higher rate of capacity utilisation in the export industries. The fact that the composition of exports had become progressively more differentiated, probably meant that the repercussions on the domestic economy of the increase in exports became more widespread and powerful than in earlier years. The growth-promoting influence of foreign demand may therefore have been greater in the first half of the 1960's than in earlier years.

Supply

Although factors on the demand side may have contributed somewhat to the acceleration in growth, the main reason for this is probably to be found on the supply side, notably the increase in productive resources, and some change in their composition and distribution.

The most important factor behind the acceleration has most likely been the faster increase in employment. During the 1950's employment fluctuated somewhat from year to year, but the number of employed at the end of the decade remained roughly at the 1950 level. This situation was only to a minor extent caused by higher unemployment. The principal reasons were a slow growth in the active age groups and, particularly in the second half of the decade, a sharp fall in labour force participation because of longer education. The age groups 20-69 years increased by only 3.8 per cent from 1950 to 1960, and with a decline in participation rates in the labour force, employment in man-years did not rise. Between 1960 and 1965 the active age group rose much faster than earlier (3.1 per cent over five years), and with some increase in participation rates, the employment rose by more than this (3.7 per cent). The cut in the working week by 3 hours in 1959 and the extension of annual holidays by 1 week in 1965, do not seem to have had much impact on economic growth. Although the

increase in employment from 1960 to 1965 exceeded that of earlier periods, it remained slower than in the OECD area as a whole.

TABLE 12. **POPULATION BY AGE GROUPS 1950-1970**

Percentage distribution.

	1950	1960	1965	1970
14 years and below	24.4	25.8	24.4	23.9
15-19 years	6.2	7.4	8.5	7.8
20-69 years	63.1	59.7	59.2	59.4
20-29	15.0	11.4	12.5	14.7
30-49	29.4	27.3	24.8	22.3
50-69	18.7	21.0	21.9	22.4
70 years and above	6.3	7.1	7.9	8.9
Total	100.0	100.0	100.0	100.0

Source: Statistical Yearbook, Long-Term Programme 1966-1969

Improvements in the composition and quality of the labour force may also have played an important role. The 1950's saw a considerable fall in the population between 20 and 39 years. Although this fall in terms of numbers was more than offset by an increase of the age group 40-69, the resulting age composition in labour force may have been unfavourable from a productivity point of view. This development came to an end at the beginning of the 1960's, and in recent years especially the proportion of people between 20 and 29 years has been rising significantly; this age group accounted for almost the entire growth of active population in the 1961-1965 period. Moreover, the considerable extension of the general and vocational school systems has probably made these persons more productive than the rest of the labour force. The economy has probably also benefited from their higher occupational and geographical mobility. Experiences from the post-war period seem to suggest a rather close connection between the supply of new labour force and production growth in a series of countries.

A very pronounced redistribution of employment between industries took place during the 15 year period. The most striking feature was that the number of man-years worked in primary industries (agriculture, forestry, fishing and whaling) fell by over one-third, with a somewhat smaller percentage decline in the last 5-year period, probably because of the higher average age and lower mobility of those remaining in these sectors. In 1965 their share of total employment was down to 19 per cent, compared with 30 per cent in 1950.

Employment in mining, manufacturing and construction has showed a rather irregular development, increasing between 1950 and 1955, falling

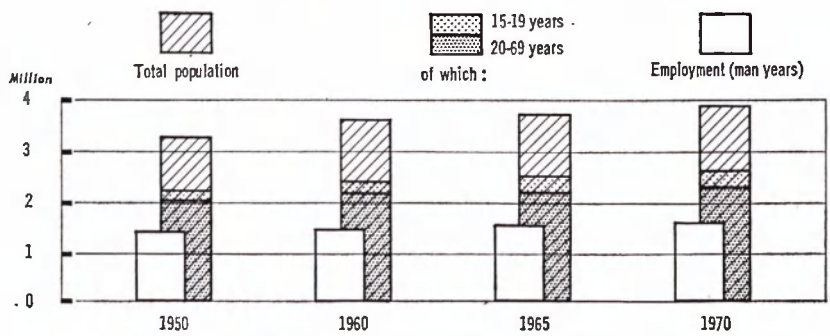
between 1955 and 1958, and expanding again up to 1965. This sector's share of total employment rose from 31 to 33 per cent over the 15-year period. Within manufacturing, employment fell in labour-intensive branches (i.a. textiles, and footwear) while the capital-intensive branches (i.a. basic metal and chemicals) increased their labour force. This kind of redistribution was of relatively greater importance in 1961-65 than before. The continuing removal of barriers to imports, notably the reduction of tariffs within EFTA, has probably been one important factor behind this development. The principal consumer of labour, however, proved to be the service industries, which in the 1950's increased their manpower roughly in pace with the release from the primary industries. So far in the 1960's, the growth of employment in these industries has accelerated, and their share in total employment reached 48 per cent in 1965, compared to 38 per cent in 1950.

The change in the distribution of labour between main industries and branches has no doubt contributed importantly to the growth of productivity. But this movement was fairly steady throughout the 1951-1965 period so that it cannot explain very much of the acceleration of economic growth.

The estimated stock of real capital, both excluding and including inventories, rose slightly faster in the 1950's, than in the first half of the 1960's. The much stronger increase in gross investments so far in this decade has been offset by a higher depreciation. The incremental capital/output ratio, which had been very high by international standards in the 1950's has fallen in the present decade to a level more in line with that prevailing in other countries.

The composition of investments has changed significantly. Investment in agriculture and forestry was considerable in the 1950's, but has

Diagram 2. **POPULATION AND EMPLOYMENT**



Sources : Statistical Yearbook and Long-Term Programme 1966-1969.

stagnated in later years, with only a slight increase in the stock of capital. Investment in manufacturing, on the other hand, has increased very fast, with a strong acceleration in the last five years. A similar, but even stronger, movement took place in the sectors of water transport and electricity supply. Public fixed investment has also increased significantly in recent years, whereas commercial buildings and dwellings have taken a declining portion of total fixed asset formation since 1955.

The movements of employment and investment reviewed above have meant a slowdown in the growth of the volume of capital per employed in 1961-1965 compared with 1951-1960. But in spite of the more moderate rise in the stock of capital during the first half of the 1960's, the rapid expansion of *gross* investments has probably meant large-scale acquirements of new equipment, and thereby the introduction of new techniques. Moreover, it is likely that the recent tendencies towards a growing share of investment in high-productivity sectors has contributed to the acceleration in output.

It would be hazardous to try to estimate more accurately the relative importance of the many factors that have contributed to faster growth. It is likely, however, that the effect of the increase in employment and the improved quality of labour force has been significant. Calculations covering the 1951-1965 period, suggest that the effect on output of a 1 per cent increase in labour input is three times as high as that of a 1 per cent increase in the capital stock. This probably means that the stronger increase in employment in the 1961-1965 period was an important factor behind the acceleration in economic growth.

IV. CONCLUSIONS

Although the economy is expanding very fast, the movements of prices and the foreign balance do not as yet point to any unduly excessive pressure of demand. The labour market is, however, very tight and demand prospects suggest that the situation may get worse rather than better in the months ahead. It is desirable that economic policy should be directed towards preventing a too strong increase in demand. There may in particular be need to ensure that the relatively good general balance in the economy achieved in the last couple of years is not being endangered by an excessive increase in demand in the building and construction sector.

The authorities would seem to have made important progress in establishing an incomes policy in recent years. Co-ordination of the various income settlements is a key element in this policy. The Contact Group consisting of representatives of the authorities and the parties concerned in

income negotiations played an important role in settlements of the last few years. And the recent expert report represents an important step forward. There are still a number of problems to be tackled and recent achievements may not all be maintained. The implication for future settlements of this year's experiences and the decision by the arbitration Board are particularly difficult to assess. Further progress may therefore be both slow and difficult. Nevertheless, a machinery for co-ordination now exists and this should represent a good basis for further advance.

The growth of output has accelerated considerably in the 1960's. The stronger increase in employment, and especially the larger number of young people entering the labour force, seems to have been the most important factor behind the acceleration. In the 1950's, with a high rate of investment and a relatively moderate increase in output, the incremental capital output ratio was relatively high. With the strong expansion in recent years, the ratio has declined to a level more in line with that of other industrialised countries.

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STATISTICAL ANNEX

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TABLE I. **SUPPLY AND USE OF RESOURCES**

CURRENT PRICES	N.KR. MILLION								PER CENT OF GNP		AVERAGE ANNUAL GROWTH RATES
	1958	1959	1960	1961	1962	1963	1964	1965	1958	1965	1958-65
Gross national product	28,658	30,417	32,340	35,241	37,997	40,497	44,982	50,018	100.0	100.0	8.3
Imports of goods and services	12,996	13,301	14,576	15,817	16,352	17,784	19,490	21,571	45.3	43.1	7.5
Total supply	41,654	43,718	46,916	51,058	54,349	58,281	64,472	71,589	145.3	143.1	8.0
Exports of goods and services	11,871	12,746	13,673	14,390	15,010	16,421	18,847	20,793	41.4	41.6	8.4
Total domestic demand	29,783	30,972	33,243	36,668	39,339	41,860	45,625	50,796	103.9	101.5	7.9
Of which:											
Public consumption	3,990	4,363	4,588	5,014	5,768	6,363	7,000	8,224	13.9	16.4	10.9
Defence	967	1,031	1,024	1,104	1,281	1,370	1,481	1,830	3.4	3.6	9.5
Civil	3,023	3,332	3,564	3,910	4,487	4,993	5,519	6,394	10.5	12.8	11.3
Private consumption	16,768	17,787	18,952	20,561	22,222	23,333	25,449	27,023	58.6	54.0	7.1
Gross domestic fixed asset formation	9,298	9,039	9,298	10,541	11,237	12,332	13,099	14,598	32.4	29.2	6.7
Government	1,014	1,101	1,163	1,192	1,401	1,633	1,988	2,066	3.5	4.1	10.7
Enterprises	8,284	7,938	8,135	9,349	9,836	10,699	11,111	12,532	28.9	25.1	6.1
Change in stocks	—273	—217	405	552	112	—168	77	951	—1.0	1.9	..

Source: Norwegian submission to the OECD.

Table II. SUPPLY AND USE OF RESOURCES

1958 prices	N.kr. million								Per cent of GNP		Average annual growth rates
	1958	1959	1960	1961	1962	1963	1964	1965	1958	1965	1958-65
Gross national product	28,658	29,710	31,374	33,381	34,492	36,334	38,660	40,783	100.0	100.0	5.2
Imports of goods and services	12,996	13,578	15,057	16,565	17,560	19,096	20,633	22,538	45.3	55.3	8.2
Total supply	41,654	43,288	46,431	49,946	52,052	55,430	59,293	63,321	145.3	155.3	6.2
Exports of goods and services	11,871	13,001	14,203	15,224	16,108	17,889	19,831	21,162	41.4	51.9	8.6
Total domestic demand	29,783	30,287	32,228	34,722	35,944	37,541	39,462	42,159	103.9	103.4	5.1
Of which:											
Public consumption	3,990	4,201	4,324	4,602	4,899	5,202	5,492	6,061	13.9	14.9	6.2
Defence	967	1,018	958	1,005	1,060	1,147	1,179	1,361	3.4	3.4	5.0
Civil	3,023	3,183	3,366	3,597	3,839	4,055	4,313	4,700	10.5	11.5	6.5
Private consumption	16,768	17,428	18,495	19,611	20,318	20,966	21,807	22,373	58.6	54.8	4.2
Gross domestic fixed asset formation	9,298	8,874	8,960	9,973	10,596	11,457	11,892	12,680	32.4	31.1	4.5
Government	1,014	1,105	1,139	1,131	1,263	1,442	1,689	1,718	3.5	4.2	7.8
Enterprises	8,284	7,769	7,821	8,842	9,333	10,015	10,203	10,962	28.9	26.9	4.1
Change in stocks	—273	—216	449	536	131	—84	271	1,045	—1.0	2.6	..

Source: Norwegian submission to the OECD.

Table III. GROSS NATIONAL PRODUCT BY INDUSTRIAL ORIGIN

N. Kr. million, current prices.

	1958	1959	1960	1961	1962	1963	1964	1965
Agriculture	1,590	1,782	1,696	1,787	1,708	1,779	1,847	1,994
Forestry, hunting, etc.	907	792	806	888	879	818	898	1,019
Fishing	603	681	646	656	600	594	744	996
Mining and quarrying	305	279	300	302	327	347	356	426
Manufacturing	6,714	7,151	7,807	8,521	9,155	9,534	10,777	12,209
Electricity, gas and water works	717	767	866	912	1,039	1,068	1,270	1,461
Construction	1,907	2,016	2,095	2,299	2,653	3,027	3,180	3,597
Water transportation	3,129	3,157	3,292	3,513	3,669	4,041	4,555	4,969
Other transportation and communication	1,687	1,805	1,949	2,167	2,389	2,642	2,796	3,090
Wholesale and retail trade	3,108	3,239	3,664	4,013	4,346	4,614	4,957	5,411
Banking, insurance, real estate	633	706	763	881	895	1,074	1,131	1,240
Ownership of dwellings	865	922	995	1,072	1,130	1,140	1,250	1,296
Public administration and defence	1,195	1,294	1,362	1,426	1,600	1,759	1,952	2,159
Health and educational services	1,280	1,429	1,534	1,777	2,098	2,344	2,683	3,049
Miscellaneous services	1,399	1,529	1,627	1,748	1,923	2,082	2,332	2,569
Total, gross domestic product at factor cost	26,039	27,549	29,402	31,962	34,411	36,863	40,728	45,485
Net payments abroad	—266	—284	—336	—393	454	561	629	—691
Gross national product at factor cost	25,773	27,265	29,066	31,569	33,957	36,302	40,099	44,794

Source: Norwegian submission to the OECD.

TABLE IV. GROSS FIXED ASSET FORMATION[1]

N. Kr. million at 1958 prices.

	1958	1959	1960	1961	1962	1963	1964	1965
A. PRODUCT CLASSIFICATION:								
Land	93	113	93	76	30	25	26	38
Dwellings	1,273	1,281	1,286	1,409	1,454	1,464	1,486	1,544
Other buildings	1,613	1,675	1,711	1,850	1,942	2,020	2,075	2,213
Other construction and works	1,115	1,129	1,210	1,196	1,413	1,645	1,766	1,709
Transport equipment	3,495	2,930	2,483	3 010	3,141	3,531	3,476	4,019
Other equipment	1,709	1,746	2,177	2,432	2,616	2,772	3,063	3,157
Total	9,298	8,874	8,960	9,973	10,596	11,457	11,892	12,680
B. BY INDUSTRY:								
Agriculture, forestry and fishing	834	845	849	741	819	857	948	851
Mining and quarrying	63	107	118	78	78	85	125	141
Manufacturing	1,207	1,090	1,400	1,673	1,768	1,849	1,946	2,114
Construction	136	168	201	216	229	232	258	271
Electricity, gas and waterworks	784	809	824	894	1 072	1,192	1,194	1,205
Transportation and communication	3,775	3,263	2,843	3,397	3,517	4 064	4,105	4,654
Dwellings	1,273	1,281	1,286	1,409	1,453	1,464	1,486	1,537
Public administration	27	26	22	27	31	34	40	39
Other service industries	1,199	1,285	1,417	1,538	1,629	1,680	1,790	1,868
C. INSTITUTIONAL CLASSIFICATION:								
Private enterprises	6,963	6,553	6,515	7,484	7,982	8,447	8,613	9,336
Public enterprises	1,321	1,216	1,306	1,358	1,351	1,568	1,590	1,626
General government	1,014	1,105	1,139	1,131	1,263	1,442	1,689	1,718

1. According to OECD definitions, which do not include maintenance and repair.

Source: Norwegian submission to the OECD.

Table V. IMPORTS BY AREA (COUNTRIES OF ORIGIN)

	N. KR. MILLION—CURRENT PRICES						PERCENTAGE DISTRIBUTION		
	1960	1961	1962	1963	1964	1965	1960	1964	1965
EFTA	3,906	4,519	4,691	5,671	5,731	6,488	37.4	40.4	41.2
Denmark	430	528	547	778	794	862	4.1	5.6	5.5
Sweden	1,663	1,885	2,041	2,492	2,704	3,312	15.9	19.0	21.0
Portugal	23	27	31	31	36	41	0.2	0.3	0.3
Switzerland	151	182	193	199	224	265	1.4	1.6	1.7
United Kingdom	1,571	1,811	1,781	2,083	1,876	1,903	15.1	13.2	12.0
Austria	68	86	98	88	97	105	0.7	0.7	0.7
EEC	3,434	3,721	3,703	3,879	4,091	4,599	32.9	28.9	29.2
Belgium-Luxembourg	308	313	326	302	357	380	2.9	2.5	2.4
France	337	351	447	474	481	689	3.2	3.4	4.4
Netherlands	595	603	573	662	715	715	5.7	5.0	4.5
Italy	163	179	249	235	304	318	1.6	2.1	2.0
Germany	2,031	2,275	2,108	2,206	2,234	2,497	19.5	15.9	15.9
Other European countries	597	662	623	635	860	810	5.7	6.1	5.1
African countries	272	276	370	267	383	375	2.6	2.7	2.4
Canada	510	533	492	487	510	591	4.9	3.6	3.8
United States	873	798	850	893	1,058	1,104	8.3	7.5	7.0
Mid and South America	540	595	772	638	568	752	5.2	4.0	4.8
Asia	285	392	323	461	864	955	2.7	6.1	6.0
Oceania + Misc.	29	47	61	82	104	81	0.3	0.7	0.5
Total	10,446	11,543	11,885	13,013	14,169	15,755	100.0	100.0	100.0

Source: "External Trade" vol. III and Monthly Bulletin of External Trade, Central Bureau of Statistics, Norway.

TABLE VI. **EXPORTS BY AREA (COUNTRIES OF CONSUMPTION)**

	N. KR. MILLION—CURRENT PRICES						PERCENTAGE DISTRIBUTION		
	1960	1961	1962	1963	1964	1965	1960	1964	1965
EFTA	2,735	2,853	2,853	3,110	3,974	4,418	43.5	43.1	42.9
Denmark	400	525	606	540	629	742	6.4	6.8	7.2
Sweden	763	811	924	1,048	1,309	1,620	12.1	14.2	15.8
Portugal	31	21	31	39	34	46	0.5	0.4	0.4
Switzerland	70	71	62	72	92	116	1.1	1.0	1.1
United Kingdom	1,422	1,375	1,183	1,361	1,849	1,835	22.6	20.0	17.8
Austria	49	50	47	50	61	59	0.8	0.7	0.6
EEC	1,616	1,648	1,872	2,063	2,417	2,580	25.7	26.2	25.0
Belgium-Luxembourg	134	121	121	127	144	200	2.1	1.6	1.9
France	162	215	248	270	371	322	2.6	4.0	3.1
Netherlands	238	223	206	244	310	353	3.8	3.4	3.4
Italy	218	191	247	254	240	294	3.5	2.6	2.9
Germany	864	898	1 050	1,168	1,352	1,411	13.7	14.6	13.7
Other European countries	553	546	589	756	862	990	8.8	9.3	9.6
African countries	307	274	287	334	364	509	4.9	4.0	4.9
Canada	26	32	42	41	49	68	0.4	0.5	0.6
United States	428	549	738	751	853	915	6.8	9.3	8.9
Mid and South America	306	314	241	297	282	327	4.8	3.1	3.2
Asia	237	368	252	244	329	408	3.8	3.5	4.0
Oceania and Misc.	83	68	68	68	89	89	1.3	1.0	0.9
Total	6,291	6,652	6,942	7,664	9,219	10,304	100,0	100,0	100.0

Source: "External Trade" vol. III and Monthly Bulletin of External Trade, Central Bureau of Statistics, Norway.

Table VII. BALANCE OF PAYMENTS

U.S. $ Million.

	1958	1959	1960	1961	1962	1963	1964	1965
Exports, f.o.b.	752	816	886	941	982	1,084	1,297	1,450
Imports, f.o.b.	1,264	1,273	1,395	1,558	1,603	1,775	1,921	2,150
Trade balance	—512	—457	—509	—617	—621	—691	—624	—700
Freight and transportation	394	411	412	449	463	535	586	651
Travel	—7	—8	—3	—1	1	7	5	6
Investment income	—31	—33	—38	—40	—47	—58	—65	—70
Government transactions	9	18	19	13	20	17	32	7
Other services	—10	—9	—7	—4	—4	—1	—16	—3
Balance on goods and services	—157	—78	—126	—200	—188	—191	—82	—109
Net unilateral transfers	6	9	20	16	13	11	8	8
Balance on current account	—151	—69	—106	—184	—175	—180	—74	—101
Net private long-term borrowing	119	154	41	116	85	185	55	164
Net private short-term borrowing	24	—45	49	—22	41	—8	—12	41
Net local government borrowing	13	3	17	12	10	9	48	24
Net central government borrowing	—3	—27	6	—4	—5	41	44	13
Errors and omissions	26	6	13	10	21	6	—22	29
Overall balance	28	22	20	—72	—23	53	39	170
Increase in commercial banks' net foreign assets	—10	—19	—8	—69	—21	2	—	81[1]
Increase in National Bank's net foreign assets	38	41	28	—3	—2	51	39	89[1]

1. According to the Bank of Norway's balance of payments statistics.

Source: Norwegian submission to OECD.

TABLE VIII. SHIPPING INCOME AND EXPENDITURE ABROAD

N. Kr. Million.

	1958	1959	1960	1961	1962	1963	1964	1965
Net freight earnings[1]	2,718	2,835	2,951	3,074	3,148	3,491	3,935	4,287
Net borrowing abroad	822	875	74	1,097	540	1,069	300	600
Net income and borrowing abroad	3,540	3,710	3,025	4,171	3,688	4,560	4,235	4,887
Expenditure on imports of ships[2]	2,155	1,907	1,219	1,772	1,450	1,840	1,495	2,027
Surplus on shipping operations abroad	1,385	1,803	1,806	2,399	2,238	2,720	2,740	2,860

1. Interest on mortgage loans abroad deducted.
2. Less exports of ships.

Source: Norwegian Ministry of Commerce.

TABLE IX. MAIN ECONOMIC INDICATORS

		1963				1964				1965				1966
		1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.
NATIONAL PRODUCT *(billion 1961 kroner)* :														
Gross domestic product.....	orig.	9.94	10.00	11.81	10.77	10.55	10.82	12.38	11.43	11.26	11.35	13.12	12.12	
	adj.	10.37	10.46	10.80	10.86	11.01	11.32	11.30	11.54	11.75	11.88	11.97	12.25	n.a.
Gross fixed investment.....	orig.	3.86	4.27	3.79	4.07	3.80	4.17	4.18	4.62	4.30	4.57	4.51	4.50	
	adj.	3.96	4.12	3.89	3.98	3.93	4.05	4.31	4.50	4.45	4.43	4.64	4.36	
INDUSTRIAL PRODUCTION *(1960 = 100)*:														
Total	orig.	117	111	107	127	121	126	115	135	136	131	123	143	145
	adj.	112	114	117	119	120	126	125	127	131	134	133	133	138
Exports goods	orig.	110	112	111	119	121	129	122	130	134	136	136	140	149
	adj.	108	113	115	117	123	125	126	127	131	137	140	137	145
Investment goods	orig.	123	116	106	129	126	131	115	144	145	137	124	153	159
	adj.	116	117	120	121	124	127	131	135	137	138	140	143	150
Consumer goods	orig.	110	112	104	120	110	123	106	121	119	119	109	130	127
	adj.	108	111	113	114	113	117	116	115	118	118	118	123	125
NEW ORDERS:														
Metal product industries *(1960 = 100)*...		126	175	160	205	186	172	182	192	198	194	183	243	246
CONSTRUCTION:														
New housing started (thousands)		4.36	7.55	7.24	6.96	4.67	8.26	8.63	7.32	4.78	8.58	9.21	7.59	4.57
RETAIL SALES *(1960=100)*	orig.	103	123	125	145	111	131	136	160	116	145	146	168	126
	adj.	121	123	125	127	129	132	136	140	138	145	145	146	148
LABOUR (thousands) :														
Employment in manufacturing (all employees)		339	345	346	344	342	349	351	349	348	354	357	355	355
Unemployment (registered unemployed)	orig.	32.0	11.3	7.1	20.5	26.6	10.1	7.2	18.2	23.1	8.7	5.3	16.3	24.3
	adj.	21.2	16.5	17.1	16.4	16.1	15.7	17.2	14.9	13.8	12.7	12.6	12.9	14.5
Jobs vacant (unfilled vacancies) .	orig.	3.0	5.2	3.8	2.4	3.5	6.3	4.8	3.8	4.6	7.6	5.9	5.2	6.0
	adj.	3.5	3.7	3.7	3.4	4.1	4.6	4.6	5.2	5.4	5.5	5.6	7.3	7.0

NOTE. Orig. : Series prior to seasonal adjustment. Adj. : Series adjusted for seasonal variations.
Source: OECD Main Economic Indicators.

TABLE X. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1]

FISCAL YEARS = CALENDAR YEARS

N. Kr. Million.

	1958	1959	1960	1961	1962	1963	1964	1965
1. Current revenue	7,512	8,115	8,513	9,445	10,607	11,485	12,715	14,276
Direct taxes	2,884	3,127	3,183	3,533	4,207	4,617	5,209	5,843
Indirect taxes	3,981	4,238	4,498	4,964	5,373	5,751	6,356	7,200
Other	647	750	832	948	1,027	1,117	1,150	1,233
2. Current expenditure	5,792	6,641	7,037	7,699	8,715	9,835	10,707	11,990
Purchase of goods and services	2,097	2,281	2,359	2,519	2,900	3,158	3,425	3,372
Defence	962	1,026	1,019	1,100	1,285	1,375	1,481	1,812
Civil	1,135	1,255	1,340	1,419	1,615	1,783	1,944	1,560
Subsidies	1,187	1,195	1,351	1,467	1,499	1,729	1,671	2,187
Interest	290	320	333	361	366	404	452	500
Current transfers	2,218	2,845	2,994	3,352	3,950	4,544	5,159	5,931
3. Net current savings (1-2)	1,720	1,474	1,476	1,746	1,892	1,650	2,008	2,286
4. Depreciation and other operating provisions	43	49	58	62	64	71	73	87
5. Gross savings (3 + 4)	1,763	1,523	1,534	1,808	1,956	1,721	2,081	2,373
6. Gross fixed asset formation	330	366	403	411	481	571	686	799
7. Surplus on current and fixed investment account (5-6)	1,433	1,157	1,131	1,397	1,475	1,150	1,395	1,574
8. Lending	1,261	1,003	974	1,268	1,345	1,017	1,274	1,476
9. Net capital transfers to other sectors	172	154	157	129	130	133	121	98

1. According to OECD definitions.

Source: Norwegian submission to the OECD.

TABLE XI. MONETARY SURVEY

N. Kr. mill. end of period.

	1958	1959	1960	1961	1962	1963	1964	1965
The Bank of Norway: ...								
Assets: Gold and net foreign assets	825	1,658	1,861	1,842	1,824	2,187	2,465	3,082
Loans and advances	99	99	75	126	134	131	180	84
Norwegian bonds	196	189	185	179	176	208	221	214
Liabilities: Notes in circulation	3,511	3,675	3,823	4,043	4,287	4,517	4,756	5,118
Government current account	1,372	2,089	1,980	1,816	1,534	1,544	1,395	1,281
Other public accounts	676	606	655	670	775	762	779	769
Commercial and savings banks	633	707	704	643	552	626	662	806
Commercial banks:								
Assets: Cash	143	143	151	155	183	193	190	183
Deposits, Bank of Norway	661	660	666	634	554	603	713	822
Deposits, commercial banks	548	544	633	623	586	589	641	788
Deposits, foreign banks[1]	783	784	917	847	782	916	970	1,549
Domestic and foreign bonds[1]	571	632	650	682	683	781	1,021	1,188
Domestic loans[1]	5,058	5,472	6,132	7,241	7,809	8,221	8,951	9,463
Liabilities: Domestic deposits	5,482	5,763	6,172	6,430	6,765	7,240	8,088	9,141
Deposits from abroad[1]	287	321	413	290	290	412	404	409
Net stock of foreign exchange[2]	2,816	3,187	3,511	3,752	3,503	3,858	4,384	5,691

1. Some rearrangement of data from 1961 impedes comparison with earlier years (1958-1960).
2. In the Bank of Norway, commercial banks, shipping firms and insurance companies. Including IMF net position and gold.

Source: Monthly Bulletin of Statistics.

TABLE XII. CREDIT SURVEY

N. Kr. mill. end of period.

	1958	1959	1960	1961	1962	1963	1964	1965
Lending by financial institutions[1]*:*								
Bank of Norway	86	73	59	85	109	99	88	70
Commercial banks[2]	5,058	5,472	6,132	7,241	7,809	8,221	8,951	9,463
Savings banks[2]	4,419	4,782	5,204	5,718	6,172	6,656	7,129	7,623
State banks	5,800	6,224	6,728	7,329	7,924	8,628	9,376	10,221
Post Office Savings Bank	241	266	296	321	364	393	429	449
Life insurance companies	1,780	2,015	2,279	2,603	2,919	3,240	3,591	3,971
Loan associations, etc.	1,484	1,594	1,789	1,969	2,199	2,332	2,653	3,030
Total	18,868	20,426	22,487	25,266	27,496	29,569	32,217	34,827
Lending by borrowing sector:								
Agriculture, forestry			2,146	2,348	2,391	2,569	2,719	
Fishing and whaling			390	440	553	530	539	
Mining and manufacturing			3,255	3,819	4,355	4,591	5,154	
Electricity, gas and water works	n.a.	n.a.	1,058	1,104	1,173	1,299	1,484	n.a.
Wholesale and retail trade			2,024	2,349	2,431	2,681	2,890	
Real estate			9,498	10,180	11,096	12,028	13,046	
Shipping			1,961	2,224	2,351	2,229	2,215	
Other industries			1,136	1,225	1,359	1,556	1,695	
Private consumers			946	1,038	1,126	1,353	1,598	
Total			22,414	24,727	26,835	28,836	31,340	

1. Including some lending to sectors not specified below.
2. Some rearrangement of data from 1961 and onwards impedes comparison with earlier years.

Sources: Economic Bulletin (Bank of Norway) and Monthly Bulletin of Statistics.

Table XIII. WAGES AND PRICES

1960 = 100.

	1963				1964				1965				1966
	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.
Hourly earning in industry[1]	118	123	123	125	125	129	131	133	135	142	142	145	..
Consumer prices, total	111	111	111	111	115	116	119	119	121	122	123	123	124
Food	114	113	111	111	118	119	125	123	124	125	126	125	125
Non-food	109	110	110	111	112	113	114	115	118	119	120	121	123
Wholesale prices:													
Investment goods	101	101	103	103	104	104	104	105	107	107	107	107	109
Consumer goods	107	106	106	107	111	111	113	112	112	113	113	112	113
Raw materials	105	106	106	108	109	111	111	114	116	117	116	116	115
Building costs (dwellings in Oslo)[2]	108	109	111	111	111	114	115	117	118	121	121	121	123

1. Men only.
2. A/S Stormbull.

Source: OECD Main Economic Indicators, Monthly Bulletin of Statistics.

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